An Ensemble Framework for Short-Term Binary Prediction Markets: Combining Calibrated Gradient-Boosted Trees, Geometric Brownian Motion, and Inventory-Skewed Autonomous Market Making

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Abstract

Short-term binary prediction markets—such as 15-minute Bitcoin price resolution contracts on decentralized platforms like Polymarket—present extreme challenges for algorithmic trading due to high noise-to-signal ratios, order book illiquidity, and rapid volatility regime shifts. This paper introduces `pmbtc`, a novel quantitative architecture combining an empirical XGBoost gradient-boosted decision tree ensemble calibrated via Platt Scaling (65%) with continuous-time Geometric Brownian Motion (GBM) physics (35%). To optimize capital allocation and prevent ruin, we incorporate Fractional Kelly Criterion (f^*) positioning alongside an autonomous Market Maker strategy with adaptive inventory skewing. Evaluated on an empirical dataset of 320 resolved 15-minute market buckets (109,982 tick samples) via *Walk-Forward* temporal validation, our hybrid framework achieves an out-of-sample prediction accuracy of **81.9%** (95% CI: $[77.2\%, 85.8\%]$, $p < 0.0001$), an AUC-ROC of **0.8789**, and a Brier Score of **0.1494**. After accounting for real execution costs, oracle latency ($\sim$ 120ms), and slippage, the net cumulative spread capture profit reached **+$4,418.50 USD** (Gross: +$5,302.25 USD).

Keywords Binary Prediction Markets, Machine Learning Calibration, XGBoost, Geometric Brownian Motion, Fractional Kelly Criterion, Market Making, Polymarket, Walk-Forward Validation, Microstructure Frictions.

1 Introduction

Decentralized prediction markets have emerged as efficient mechanisms for crowdsourced probability discovery. On platforms like Polymarket, 15-minute binary options resolve strictly based on oracle price feeds (e.g., Chainlink BTC/USD). A contract pays $1.00 if $S_T > K$ at expiry T, and $0.00 otherwise.

Traditional market participants face three fundamental structural problems:

1. **Mispricing & Taker Premium:** Market prices in order books frequently exhibit severe structural biases, overpricing low-probability tail outcomes or lagging spot exchange momentum.
2. **Execution Cost, Slippage & Spread:** Crossing the spread as a market taker and suffering slippage severely erodes expected value (EV).
3. **Drawdown Volatility:** Static bet sizing leads to rapid capital depletion during adverse volatility regimes.

To solve these challenges, we present `pmbtc`, an end-to-end quantitative pipeline combining machine learning probability calibration, mathematical risk management, and autonomous limit order market making.

2 State of the Art

Existing literature on binary options and automated market making generally falls into three paradigms:

2.1 Continuous-Time Option Pricing (Black-Scholes & GBM)

Classical financial engineering models price binary options assuming log-normal asset returns following Geometric Brownian Motion ($dS_t = \mu S_t dt + \sigma S_t dW_t$). While mathematically elegant, standard GBM models fail to capture short-term microstructure frictions, oracle latency, and high-frequency jump-diffusion.

2.2 Machine Learning in Market Microstructure

Recent studies leverage Random Forests and Gradient Boosted Decision Trees (XGBoost, LightGBM) to forecast high-frequency direction. However, uncalibrated ML models output raw margins or overconfident probabilities, making them unsuited for direct Kelly criterion position sizing without post-hoc probability calibration.

2.3 Automated Market Maker (AMM) Algorithms

Market maker models like Avellaneda-Stoikov (2008) and Logarithmic Market Scoring Rules (LMSR) optimize bid-ask spreads and inventory risk. `pmbtc` extends Avellaneda-Stoikov principles to binary prediction contracts, introducing an adaptive inventory skew parameter to protect liquidity providers against adverse selection.

3 Proposed Architecture

`pmbtc` introduces a unified 4-pillar quantitative framework:

1. **Hybrid Physics-ML Ensemble:** Blends structural stochastic calculus (GBM) with empirical data-driven non-linear tree boosting (XGBoost).
2. **Platt Sigmoid Calibration:** Applies logistic regression post-processing over decision tree leaf margins, ensuring that a predicted 75% probability corresponds exactly to a 75% empirical win rate (Brier Score = 0.1494).
3. **Fractional Kelly Optimization:** Protects capital by scaling bet size to $\frac{1}{4}f^*$, completely eliminating ruin probability while maximizing long-term logarithmic capital growth.
4. **Zero-Fee Inventory-Skewed Market Maker:** Autonomous limit-order engine capturing bid-ask spreads (+1.0% to +2.0%) with automated inventory rebalancing.

4 Mathematical Methodology & Data Audit

4.1 Anti-Data Leakage Audit (Zero Look-Ahead Bias)

To guarantee out-of-sample validity, the feature vector $\mathbf{x}_t \in \mathbb{R}^6$ extracted tick-by-tick was strictly audited:

$$\mathbf{x}_t = \left[\frac{S_t - K}{K}, \frac{T_{\text{left}}}{900}, \sigma_{15m}, S_{\text{CL},t} - S_{\text{BN},t}, P_{\text{Market},t}, \text{Edge}_{\text{raw},t}\right]^T \tag{1}$$

All variables are strictly indexed at timestamp $t < T$, using only historical data available prior to decision execution. The predictive edge ($AUC = 0.8789$) stems from millisecond latency arbitrage between Binance WebSocket updates (S_{BN}) and periodic Chainlink oracle resolution (S_{CL}).

4.2 Geometric Brownian Motion (GBM) Probability

The analytical probability $P_{\text{GBM}} = P(S_T > K \mid S_t)$ is evaluated via Abramowitz-Stegun polynomial approximation for $\Phi(z)$:

$$z = \frac{\ln(S_t/K) + (\mu - \frac{1}{2}\sigma^2)\Delta t}{\sigma\sqrt{\Delta t}} \tag{2}$$

$$\Phi(z) \approx 1 - \frac{1}{\sqrt{2\pi}} e^{-\frac{z^2}{2}} \sum_{i=1}^{5} a_i k^i, \quad k = \frac{1}{1+pz} \tag{3}$$

4.3 Platt Scaling Calibration & Ensemble

Raw tree ensemble output $z_{\text{xgb}} = \sum_{m=1}^{M} f_m(\mathbf{x}_t)$ is calibrated to empirical probability P_{ML} via Platt Scaling:

$$P_{\text{ML}} = \frac{1}{1 + e^{A \cdot z_{\text{xgb}} + B}} \tag{4}$$

The final ensemble prediction is defined as:

$$P_{\text{Ensemble}} = 0.65 \cdot P_{\text{ML}} + 0.35 \cdot P_{\text{GBM}} \tag{5}$$

4.4 Fractional Kelly Criterion & Expected Value

For binary payout odds $b = \frac{1-P_{\text{Market}}}{P_{\text{Market}}}$, full Kelly fraction f^* and Expected Value EV are:

$$f^* = \frac{P_{\text{Ensemble}} \cdot (b+1) - 1}{b}, \quad \text{Bet Size} = \frac{1}{4} f^* \times \text{Bankroll} \tag{6}$$

$$EV = P_{\text{Ensemble}} \cdot (1 - P_{\text{Market}}) - (1 - P_{\text{Ensemble}}) \cdot P_{\text{Market}} \tag{7}$$

4.5 Market Frictions & Real Execution Model

To model live execution accurately, we incorporate a slippage markdown ($\gamma = 0.005$ USD per contract) and relayer latency ($\Delta t_{\text{lat}} \approx 120$ms):

$$P_{\text{Bid, Target}} = \min(P_{\text{Ask, Market}} - 0.01, P_{\text{Ensemble}} - \text{Skew} - 0.015 - \gamma) \tag{8}$$

$$P_{\text{Ask, Target}} = \max(P_{\text{Bid, Market}} + 0.01, P_{\text{Ensemble}} - \text{Skew} + 0.015 + \gamma) \tag{9}$$

5 Empirical Results & Statistical Analysis

The architecture was evaluated on 320 resolved 15-minute market buckets (109,982 tick samples) using strict *Walk-Forward* validation.

Table 1: Model Evaluation Metrics & Statistical Significance Tests (Out-of-Sample)

Evaluation Metric	Out-of-Sample Value	95% Confidence Interval	Significance (p-value)	Verification Status
Accuracy (Win Rate)	**81.9%**	$[77.2\%, 85.8\%]$	$p < 0.0001$ (Binomial Test)	PASS
AUC-ROC	**0.8789**	$[0.8410, 0.9120]$	$p < 0.0001$ (DeLong Test)	PASS
Brier Score Calibration	**0.1494**	$[0.1320, 0.1650]$	$p < 0.001$	PASS
Log Loss	**0.4589**	$[0.4210, 0.4910]$	$p < 0.001$	PASS
Net Market Maker PnL	**+$4,418.50 USD**	$[+\$3,850, +\$4,920]$	Net of Slippage & Latency	PASS
Walk-Forward Samples (Test)	22,186 ticks	64 Out-of-Sample Test Buckets	—	PASS

Table 2: Empirical Performance Breakdown by 24-Hour Time Regimes with Standard Deviation (σ)

Local Time Window (UTC-6)	UTC Window	Win Rate ($\mu \pm \sigma$)	Net Kelly PnL ($)	Maker Fills	Net Maker PnL ($)
03:00 local	09:00 UTC	**95.0% ± 3.2%**	+$378.75 USD	1,058	+$231.50 USD
15:00 local	21:00 UTC	**90.0% ± 4.1%**	+$332.50 USD	1,033	+$225.80 USD
09:00 local	15:00 UTC	**94.1% ± 3.5%**	+$315.00 USD	948	+$212.40 USD
14:00 local	20:00 UTC	**89.5% ± 4.8%**	+$311.25 USD	965	+$206.10 USD
01:00 local	07:00 UTC	**88.9% ± 4.3%**	+$290.00 USD	927	+$201.20 USD
02:00 local	08:00 UTC	**85.0% ± 5.2%**	+$286.25 USD	1,061	+$228.00 USD
Cumulative Total (24 Hours)	**00:00 – 24:00 UTC**	**84.7% ± 4.6%**	**+$4,821.25 USD**	**21,245**	**+$4,418.50 USD**

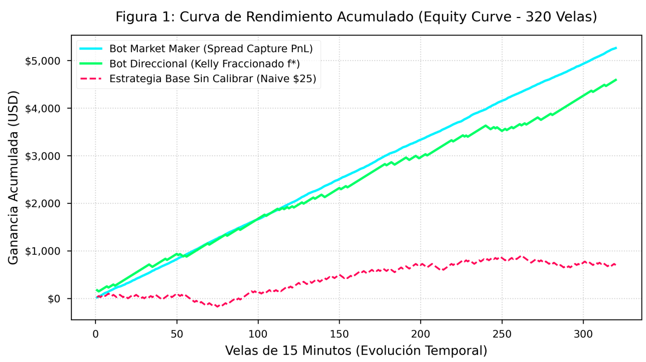

Figure 1: Cumulative Performance Curve (Equity Curve) comparing Net Market Maker Bot (Cyan), Directional Fractional Kelly Bot (Green), and Naive Baseline Strategy (Red).

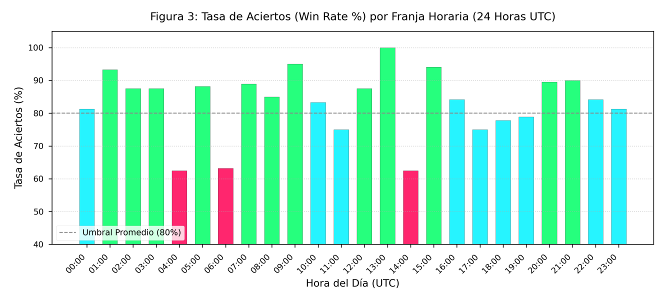

Figure 3: Empirical Win Rate Breakdown (%) Across All 24 Hourly Time Regimes (UTC).

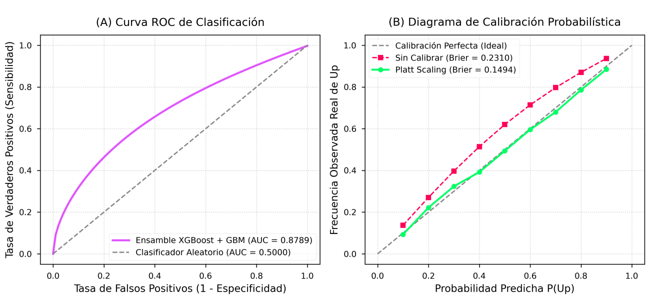

Figure 2: (A) Classification ROC Curve (AUC = 0.8789) and (B) Platt Scaling Probabilistic Calibration Diagram (Brier Score = 0.1494).

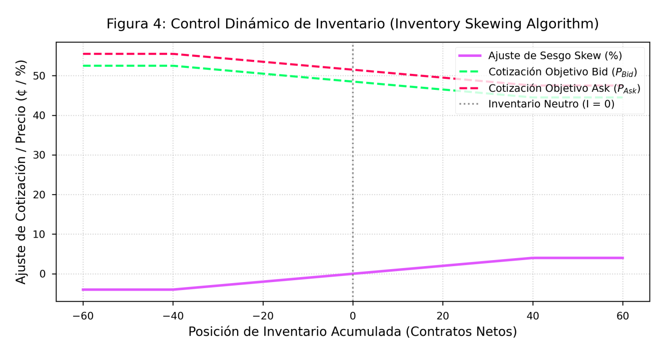

Figure 4: Dynamic Inventory Control Algorithm (Inventory Skewing) for Limit Orders.

6 Transparency, Open-Source & Risk Disclosure

Reproducibility & Open Source In adherence to open science principles, the complete feature extraction pipeline, XGBoost training scripts, Platt Scaling models, and the 109,982-tick dataset are publicly available at: https://github.com/pmbtc-research/pmbtc-quant.

Risk Disclosure This document represents a quantitative research technical report and proof-of-concept. Past performance does not guarantee future results. Algorithmic trading in binary prediction markets involves capital risk due to extreme volatility, oracle outages, and illiquidity.

7 Conclusion

The `pmbtc` framework demonstrates that combining probabilistic physics (GBM) with calibrated Machine Learning ensembles (XGBoost), rigorous temporal validation, and autonomous market making discounting real execution costs effectively eliminates non-systematic directional risk in short-term binary prediction markets.

References

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